

ENGLISH **LIVE**

35

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 35

16th MARCH, 2017

LIVE**BusinessLine**

TUESDAY, MARCH 14, 2017

Wealthy and wise

An accredited investor framework is desirable. Financial awareness, rather than networth is essential to invest in risky alternate assets

Globally, financial products are acquiring greater sophistication with inter-connected markets and digital innovation, but regulators are finding it difficult to keep up. The big dilemma for financial regulators is how they can shield uninformed investors from the risks of new asset classes, while still enabling innovative forms of fund-raising for firms. Therefore, it is good to see SEBI exploring the concept of 'accredited investors' for alternative assets in the Indian market. By allowing retail investors to formally validate their financial awareness, the process of accreditation ensures that the eligibility criteria for participating in high-risk, high-return assets are based more on financial savvy, than on networth.

Protecting the 'small' investor has been the cornerstone of India's securities market laws for many years. And SEBI regulations now rely solely on ticket size to sift retail investors in riskier assets such as SME public offers, portfolio management services, venture funds and angel funds. However, the definition of 'small' investor is fluid – while a minimum ₹1-lakh subscription is needed for an SME IPO, the bar is at ₹1 crore for private equity or angel funds. The many securities scams have also shown us that not all wealthy investors are well-informed. Many high networth investors lost money in collective investment schemes, NSEL and art funds. In contrast, many less-affluent investors are financially savvy and may be keen to participate in equity crowd-funding, or create wealth through portfolio management services or SME IPOs. The 'accredited investor' dispensation prevalent in markets such as the US and Europe addresses this dichotomy by using wealth and knowledge criteria to screen expert investors. In the US, investors with annual incomes of \$200,000 or investible networth of \$1 million can apply for accreditation. In the UK, investors have to self-certify income and financial awareness. Drawing from different regimes, the Narayana Murthy committee on alternative investments (November 2016) has suggested a ₹50-lakh annual income for three out of the last five years, registration with the tax department, and an online test on financial markets for investor accreditation in India. This is under examination by SEBI. Once it is in place, SEBI can use this framework not only to enable alternative investments, but also to clarify the regulatory regime for unregulated vehicles such as crowd-funding and peer-to-peer lending.

While using qualitative and quantitative criteria to accredit investors is a good approach, SEBI should collate more data on the actual income distribution in India before setting the income bar at ₹50 lakh. Given that only 42,800 people have declared incomes of over ₹1 crore, there is the risk of the financial bar for accreditation again being set too high. In fact, only recently the SEC chairman argued for diluting the accreditation criteria in the US on the grounds that all investors deserved "equality of opportunity" in exploring new assets that can expedite their wealth creation efforts. More money should not be necessary to make more money.



DISCUSSION ON 16th March (Today)



DISCUSSION ON 17th March (tomorrow)

BusinessLine
14th March, 2017

BusinessLine

THURSDAY, MARCH 16, 2017

Slow flow

Favourable global and domestic factors have helped foreign portfolio flows until recently, but the road ahead is rocky

It is ironic that India's stock, bond and currency markets should remain so resilient to the US Federal Reserve's rate hikes in the last few months, after throwing a 'taper tantrum' at the very idea a couple of years ago. Since mid-December, when the Fed resumed its tightening, the S&P BSE Sensex is up 11 per cent, the yield on the benchmark 10-year gilt is up a mild 30 basis points, and the rupee has actually strengthened from 67.4 to 65.8 to a dollar. In fact, the rupee broke through its longheld barrier of 66 to a dollar on the eve of this Wednesday's FOMC meeting. All this despite foreign portfolio investors (FPI) developing markedly cold feet about India in the last six months. FPIs have pulled out a net \$6.09 billion from Indian bonds and \$1.74 billion from stocks since October 2016. FPI promises to be the worst year on record for foreign investments in bonds.

A fortuitous combination of global and local tailwinds has helped shield domestic markets from a sharp correction in recent months. Domestic mutual funds have seen sustained inflows, allowing them to buy stocks when FPIs sold. Banks and insurers, flush with one-off inflows during demonetisation, have aggressively bought government securities and bonds, preventing bond prices from collapsing due to FPI sales. The rupee on its part has been supported by India's unusually strong balance of payments position, with moderate oil prices and low gold imports pushing the current account deficit (CAD) to less than 1 per cent of GDP in FYT. Global weakness has prompted a record foreign direct investment (FDI) surge into India in search of higher growth. But going forward, at least some of these tailwinds are likely to evaporate. One-off flows into equity and bond markets from demonetisation will normalise as cash supply improves; gold demand may revive. Oil prices may have come off their highs in recent days, but they could bounce back, and with the outlook for Indian exports turning gloomy, analysts are expecting the CAD to spike by 50 per cent in FY18.

More importantly, the anomalous situation of zero to negative interest rates in many developed economies due to the easy money policies of the past is already reversing. This spells trouble for portfolio flows into India. With the US economy strengthening and the Fed looking to hike rates through 2017, the temptation will be strong for foreign investors to re-allocate money from volatile emerging markets back to the US. The shrinking interest rate differential between India and the US will also do away with the easy arbitrage returns they earned through carry trades. Record pullouts from Indian bonds in the last few months are a stark reminder that this rate differential matters as much, if not more, to portfolio investors, as the 'India story'. While there is little that can be done about this, the Centre must redouble its efforts to keep FDI flows coming; this will hold the key to market and rupee stability in the year ahead.

BusinessLine
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Wealthy and wise

An accredited investor framework is desirable. Financial awareness, rather than network is essential to invest in risky alternate assets

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Protecting the 'small' investor has been the cornerstone of India's securities market laws for many years. And SEBI regulations now rely solely on ticket size to sift retail investors in riskier assets such as SME public offers, portfolio management services, venture funds and angel funds. However, the definition of 'small' investor is fluid — while a minimum ₹1-lakh subscription is needed for an SME IPO, the bar is at ₹1 crore for private equity or angel funds. The many securities scams have also shown us that not all wealthy investors are well-informed. Many high networth investors lost money in collective investment schemes, NSEI and art funds. In contrast, many less-affluent investors are financially savvy and may be keen to participate in equity crowd-funding, or create wealth through portfolio management services or SME IPOs. The 'accredited investor' dispensation prevalent in markets such as the US and Europe addresses this dichotomy by using wealth and knowledge criteria to screen expert investors. In the US, investors with annual incomes of \$200,000 or investible networth of \$1 million can apply for accreditation. In the UK, investors have to self-certify income and financial awareness. Drawing from different regimes, the Narayana Murthy committee on alternative investments (November 2016) has suggested a ₹50-lakh annual income for three out of the last five years, registration with the tax department, and an online test on financial markets for investor accreditation in India. This is under examination by SEBI. Once it is in place, SEBI can use this framework not only to enable alternative investments, but also to clarify the regulatory regime for unregulated vehicles such as crowd-funding and peer-to-peer lending.

While using qualitative and quantitative criteria to accredit investors is a good approach, SEBI should collate more data on the actual income distribution in India before setting the income bar at ₹50 lakh. Given that only 42,800 people have declared incomes of over ₹1 crore, there is the risk of the financial bar for accreditation again being set too high. In fact, only recently the SEC chairman argued for diluting the accreditation criteria in the US on the grounds that all investors deserved "equality of opportunity" in exploring new assets that can expedite their wealth creation efforts. More money should not be necessary to make more money.

Wealthy and Wise

THE HINDU
BusinessLine

14th March, 2017

Wealthy and Wise

LIVE

- An **accredited investor** framework is desirable. Financial awareness, **rather than** net worth is essential to invest in risky alternate assets
- Globally, financial products are acquiring greater **sophistication** with inter-connected markets and digital innovation, but regulators are finding it difficult to keep up. The big **dilemma** for financial regulators is how they can **shield** uninformed investors from the risks of new asset classes, while still **enabling innovative** forms of fund-raising for firms.
- Therefore, it is good to see SEBI exploring the concept of 'accredited investors' for alternative assets in the Indian market. By allowing retail investors to formally validate their financial awareness, the process of accreditation ensures that the eligibility criteria for participating in high-risk, high-return assets are based more on financial **savvy**, than on **net worth**.
- Protecting the 'small' investor has been the **cornerstone** of India's securities market laws for many years. And SEBI regulations now rely **solely** on ticket size to **sift** retail investors in riskier assets such as SME public offers, **portfolio management services**, venture funds and angel funds.
- However, the definition of 'small' investor is **fluid** — while a minimum Rs.1-lakh subscription is needed for an SME IPO, the bar is at Rs.1 crore for private equity or angel funds. The many securities scams have also shown us that not all wealthy investors are well-informed. Many high net worth investors lost money in **collective investment schemes**, NSEL and **art funds**.
- In **contrast**, many less-affluent investors are financially savvy and may be keen to participate in equity **crowd-funding**, or create wealth through portfolio management services or SME IPOs. The 'accredited investor' dispensation prevalent in markets such as the US and Europe addresses this **dichotomy** by using wealth and knowledge criteria to screen expert investors. In the US, investors with annual incomes of \$200,000 or investible net worth of \$1 million can apply for accreditation. In the UK, investors have to self-certify income and financial awareness.
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- While using qualitative and quantitative criteria to accredit investors is a good approach, SEBI should **collate** more data on the actual income distribution in India before setting the income bar at Rs.50 lakh. Given that only 42,800 people have declared incomes of over Rs.1 crore, there is the risk of the financial bar for accreditation again being set too high. In fact, only recently the SEC chairman argued for diluting the accreditation criteria in the US on the grounds that all investors deserved "equality of opportunity" in exploring new assets that can expedite their wealth creation efforts. More money should not be necessary to make more money.

Wealthy and Wise

LEARNING SPACE

...Transforming Human Lives

An **accredited investor** framework is desirable.

Financial awareness, **rather than** net worth is essential
to invest in risky alternate assets

LEARNING SPACE

...Transforming Human Lives

Accredited Investor

- *A person or entity that can deal with securities not registered with financial authorities.*
- *The requirements can be regarding income, net worth, asset size, governance status or professional experience.*



Accredited Investor

Rather than

*I would like to stay at home this evening **rather than** go out.*



Rather than

Instead of, to indicate preference

Alternative Investment Funds

ANGEL INVESTMENT

- *For start-ups at too early stage.*
- *Few thousands of dollars.*
- *May be from relatives & friends.*
- *Invest their own money.*
- *Emphasis is on person.*
- *In return take up equity in company.*

VENTURE CAPITAL

- *For start-ups, after assessing high growth potential.*
- *Moderate investment of at least 1 to 2 million dollars.*
- *Pooled up money from various professionally managed sources.*
- *In return, take up equity in company.*

Wealthy and Wise

Globally, financial products are acquiring greater **sophistication** with inter-connected markets and digital innovation, but regulators are finding it difficult to keep up. The big **dilemma** for financial regulators is how they can **shield** uninformed investors from the risks of new asset classes, while still **enabling innovative** forms of fund-raising for firms.

Sophisticate

*Radha and Raju are a more
sophisticated couple and
they now live in downtown
New York.*



Sophisticate

Someone who knows about culture, fashion and other matters that are considered socially important / to bring to a more developed complex or refined form

Dilemma

*He is a senior Vice-President in Vodafone and recently, he has got an offer from Airtel and he is now in a **dilemma** whether to accept the offer or not.*



Dilemma

The situation in which a difficult choice has to be made between two different things one could do

Shield

*A coat of paint every year
acts as a **shield** against
corrosion.*



Shield

A person or thing providing protection

Shield

*Wearing a helmet acts as a
shield from a serious fall
while driving a bike.*



Shield

A person or thing providing protection

Innovative

***Innovation** and scientific temper must be inculcated in young minds so as to take country forward*



Innovative

Using new methods or ideas

Wealthy and Wise

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Savvy

*Irom Sharmila, who fought against the Armed Forces Special Powers Act (AFSPA) for 16 years lacked the necessary political **savvy** and hence she faced the ignominious defeat by polling only 90 votes.*



Savvy

Knowledgeable, who can use common sense and good judgement / practical knowledge and ability

Net worth



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Liabilities

Net worth

- This is the amount by which assets exceed liabilities
- It is the concept applicable to individuals and businesses
- It is a key measure of how much an entity is worth

Wealthy and Wise

Protecting the 'small' investor has been the **cornerstone** of India's securities market laws for many years. And SEBI regulations now rely **solely** on ticket size to **sift** retail investors in riskier assets such as SME public offers, **portfolio management services**, venture funds and angel funds.

Cornerstone



Family is the
cornerstone of
the Indian
society.



Cornerstone

A stone in a corner of a building, with the date when it was built.

Cornerstone

Something of great importance that everything else depends on

Solely

The massive victory of BJP in Uttar Pradesh can be solely attributed to the personal charisma of Narendra Modi



Narendra Modi

**Solely**

Only and not involving anything else

Sift

*Journalists through their analysis **sift** the truth from many layers of untruth, which is available everywhere.*



Sift

Examine something thoroughly so as to isolate that which is most important

Portfolio Management Services (PMS)

- These are used by high net worth investors to invest in stocks
- These are offered by brokerages
- They can be discretionary and non-discretionary
- In discretionary, fund manager takes investment decisions on behalf of the investor
- Fund manager handles the money on behalf of the clients
- The investor holds the stock in a de-mat account, but the fund manager has got the power of attorney to operate it
- Investors need to bring at least Rs. 25 lakh to invest in a PMS
- As per the SEBI's instructions, a portfolio manager is required to furnish a performance report to their clients every 6 months



ANGEL INVESTMENT / VENTURE CAPITAL

ANGEL INVESTMENT

- *For start-ups at too early stage.*
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VENTURE CAPITAL

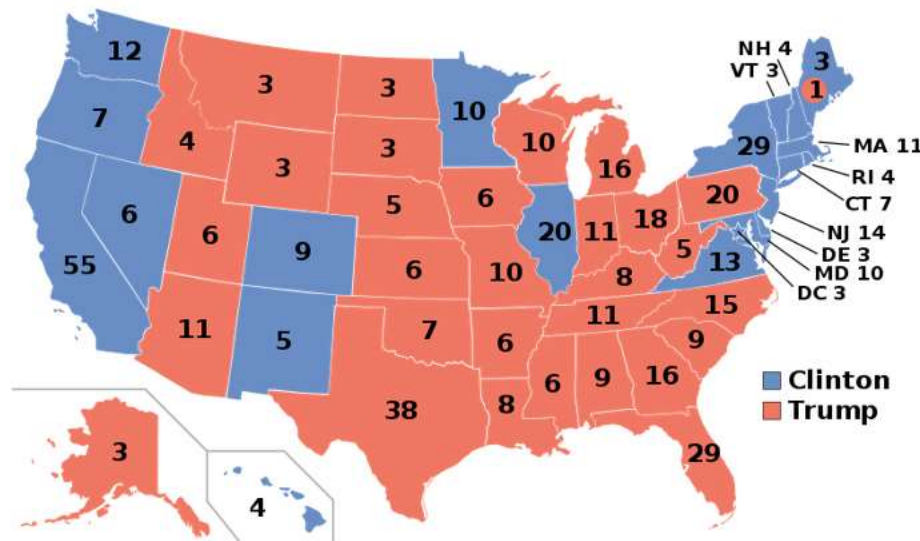
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Fluid

*The situation in the USA
at present is very **fluid**.*



Donald Trump
President of the USA

Fluid

Situations or ideas that are not fixed and are likely to change, often repeatedly and unexpectedly

Collective Investment Schemes



MEANING OF CIS

- Contributions or payments made by the investors are pooled.
- Utilized with a view to receive profits, income.
- It is managed on behalf of the investors.
- Investors do not have day to day control of the management.

WHAT LAW SAYS ?

- Under Securities Laws (Amendment) Act, 2014, any pooling of funds under any scheme or arrangement having an investment corpus of Rs. 100 cr or more is to be regulated by SEBI.



Art funds

- *These are the investments in the works of famous artists apart from sculptures, photographs and other forms of contemporary Indian art.*
- *The Yatra Fund, one such example, was launched in 2005.*



Wealthy and Wise

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Contrast

The blouse is in quite a
contrast to the saree



Contrast

Obvious difference between two or more things

Crowd-funding

- *It is the practice of funding a project or venture by raising monetary contributions from a large number of people.*
- *It is a form of crowdsourcing.*
- *It is considered as the way of alternative finance method.*
- *In 2015, world over \$ 34 bn were raised in this way.*



Dichotomy

*In India, there is
dichotomy between what
the politicians say and
what they do*



Dichotomy

The difference between two completely opposite ideas

Wealthy and Wise

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Peer-to-peer lending

- *It is the practice of lending money to individuals or businesses through online services*
- *In peer-to-peer lending, lenders directly interact with borrowers.*
- *They operate entirely online.*



Wealthy and Wise

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collate

*The income tax department should **collate** data from various sources so as to reduce the incidence of tax evasion*

**collate**

To bring together different pieces of information in order to study and compare to arrive at a decision

LIVE

DISCUSSION ON

17th Mar (tomorrow)

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THURSDAY, MARCH 16, 2017

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